

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$17.94 ▼ 3.96%	12M Price Target \$22.00	52-Week Range \$12.08 – \$58.15	Market Cap \$5.96B
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RGTI: Quantum Hype Cooling, Cash Runway Questions Emerge

WHAT HAPPENED

- Stock down another 4% and now sitting at just 13% of its 52-week range — that's the market saying the quantum hype trade from earlier this year is officially unwinding. The Quantinuum IPO (competitor that just went public) is sucking oxygen out of the room, and analysts are openly asking who survives the cash burn.
- Insider selling matters here — Director Ray Johnson dumped ~\$4.3M worth in June around \$20-21. When directors sell into strength right before the stock craters, it tells you something about how insiders view current valuation.

WHY IT MATTERS

The narrative has shifted from "quantum is the next AI" to "which of these cash-burning startups actually survives" — and that's a much harder story to sell. RGTI still trades at a \$6B market cap on roughly \$15-20M in annual revenue, meaning investors are paying ~\$300 for every \$1 of sales, which only makes sense if you believe federal quantum funding accelerates dramatically. The Quantinuum IPO is a double-edged sword: it validates the space but also gives institutions a better-capitalized alternative with Honeywell backing, which could pull capital away from RGTI. Watch for a capital raise — with \$200M+ cash but \$80-100M annual burn, they'll need to tap markets within 18 months, and doing it at \$18 vs \$50 means way more dilution (existing shares getting watered down).

POLICY & POLITICAL WATCH

The National Quantum Initiative Reauthorization Act is the single biggest policy catalyst — it authorizes ~\$2.7B in federal quantum R&D funding and has bipartisan support, but has been stuck in committee. If it passes this summer, RGTI's DOE/DARPA pipeline gets a real boost; if it stalls again (this would be the second delay), that's a body blow to the entire sector's thesis. Also watch the CHIPS Act 2.0 discussions — quantum has been floated for inclusion, and export controls on quantum tech to China could either help RGTI (protected market) or hurt (lost commercial opportunity), depending on how they're written.

IS IT EXPENSIVE?

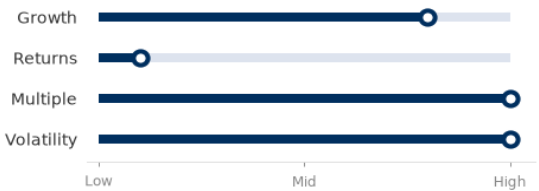
At ~\$6B market cap on tiny revenue, you're paying roughly \$300-400 for every \$1 of current sales — that's not a valuation, that's a bet on a future that may or may not arrive. Even Simply Wall St. flagged it as "fully valued" and they're usually optimistic. The only way to justify this is if you believe RGTI hits \$500M+ revenue by 2030, which requires quantum computers to actually deliver commercial value at scale — a bet, not an investment.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$17.94
12M Price Target	\$22.00
Upside / (Downside)	+22.6%
Market Cap	\$5.96B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.35)
FY2027E EPS	(\$0.30)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$22.00	\$18.00	\$14.00
6 Months	\$28.00	\$20.00	\$11.00
1 Year	\$35.00	\$22.00	\$9.00
2 Years	\$50.00	\$25.00	\$7.00
5 Years	\$90.00	\$30.00	\$4.00
10 Years	\$200.00	\$45.00	\$2.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.6%) and Utilities (+2.2%) — classic defensive rotation, which tells you institutions are getting nervous about growth/speculative names. That's bad news for RGTI's cohort.

COOLING OFF: Speculative tech and quantum specifically — the Quantinuum IPO absorbed a lot of the dedicated quantum capital, leaving RGTI and peers fighting for scraps.

ROTATION WATCH: Money is clearly rotating OUT of moonshot tech and INTO defensives — that's a headwind for anything unprofitable and story-driven, which RGTI absolutely is.

RELATED PLAY: If you want quantum exposure with less risk, IBM and GOOGL have real quantum programs backed by real cash flows — you get the upside without the binary bankruptcy risk.

WHO'S WINNING IN THIS SPACE?

- HON (Honeywell): Just spun off Quantinuum at a premium valuation — parent company getting credit for quantum optionality without the cash burn risk
- IBM (IBM): Quantum roadmap advancing steadily with actual enterprise customers paying real money, not just government grants

RGTI CONTEXT: RGTI is lagging badly — down 70%+ from 52-week highs while the broader market holds up. That's the market telling you this name is being repriced from "quantum leader" to "quantum survivor candidate," which is a much less exciting narrative.

WHAT I'D DO WITH THIS STOCK

4/10 Conviction Score

CONVICTION: 4/10 — cautiously skeptical; the tech is real but the valuation still assumes a lot has to go right

POSITION SIZE: Keep this at 1-2% MAX and only in your speculative sleeve — this is a lottery ticket, not a core holding

ENTRY POINTS: I'd wait for \$13-15 which is where the 52-week low support sits, or a capital raise event that clears the dilution overhang

TIME HORIZON: 24-36 months minimum — quantum commercialization isn't happening next quarter, and you need patience or you'll get shaken out

WHEN TO BAIL: If they raise capital below \$15, lose a major government contract, or a competitor announces commercial quantum advantage — any of those and I'm out

HEDGING: Simplest hedge is just keeping the position small — 1-2% means if it goes to zero you barely feel it, and if it 5x's you still make real money